# Ignitis grupė

Issuer review · 6M2026

**Analysis date:** 2026-10-22
**Rating:** S&P BBB+ (stable), 2026-07-28; Moody's Baa1 (stable), 2026[1]
**Next report:** Q3 2026 interim report - 2026-11-11[2]

| Adjusted EBITDA (6M2026) | Adjusted net profit (6M2026) | Net debt (6M2026) | Net debt / EBITDA (6M2026) |
|---|---|---|---|
| **306.6 EUR m** | **115.8 EUR m** | **1,925.3 EUR m** | **3.49x** |
| ▲ 1.9 % vs 6M2025 | ▼ 20.8 % vs 6M2025 | ▲ 0.7 % vs FY2025 | ▼ 0.01x vs FY2025 |

## Quick summary

- 6M Adjusted EBITDA EUR 306.6m (+1.9%). Networks and Customers & Solutions grew, Green Capacities declined (EUR 149.2m vs 166.6m)[3]. 2026 guidance of EUR 550-600m reiterated; 6M equals 51-56% of it[4].
- **Debt stable:** net debt EUR 1,925.3m (+0.7% since YE2025), net debt / Adjusted EBITDA 3.49x, FFO / net debt 22.2% (strategic target ≥23%)[5,6].
- **Ratings unchanged:** S&P BBB+ (stable, 2026-07-28), Moody's Baa1 (stable, first-time rating in 2026)[1].
- **Relevant for held bond XS1646530565 (2.000%, 2027-07-14):** tender offer announced on 2026-10-19, financed with a new EUR 300m 4.500% EuGB bond due 2031-10-27[7,8].
- Adjusted net profit fell 20.8% to EUR 115.8m; Adjusted ROCE (LTM) 6.7% (8.6% a year earlier)[9].

## Instruments held and ISINs

| ISIN | Instrument | Coupon | Maturity | Note |
|---|---|---|---|---|
| LT0000115768 | Ignitis grupė ordinary share (IGN1L) | – | share | |
| XS1646530565 | Ignitis 2.000% green notes 2027 | 2.000% | 2027-07-14 | Tender offer for any and all notes announced 2026-10-19 (refinanced by new EuGB 4.500% 2031) |
| XS1853999313 | Ignitis 1.875% green notes 2028 | 1.875% | 2028-07-10 | ⚠ Issuer pages differ on dates (newer page: 2018-07-10 / 2028-07-10; older page: 2017/2027) - check Final Terms |
| XS2177349912 | Ignitis 2.000% notes 2030 | 2.000% | 2030-05-21 | |

## Key ratios

| Metric | FY2024 | FY2025 | 6M2025 | 6M2026 |
|---|---|---|---|---|
| Revenue, EUR m[10] | – | – | 1,298.0* | 1,497.5* |
| Adjusted EBITDA, EUR m[11,12,9] | 527.9 | 546.1 | 300.8 | 306.6 |
| EBITDA, EUR m[11,9] | 532.7 | 482.1 | 262.5 | 303.5 |
| Adjusted net profit, EUR m[11,12,9] | 277.5 | 225.7 | 146.2 | 115.8 |
| Net profit, EUR m[11,10] | 276.2 | 163.9 | 111.4* | 113.2* |
| Investments, EUR m[11,12,9] | 812.0 | 720.3 | 343.2 | 306.1 |
| FFO, EUR m[13] | – | – | 225.9* | 251.4* |
| Free cash flow, EUR m[13] | – | – | 64.0* | 5.3* |
| Net debt, EUR m[11,5] | 1,612.3 | 1,912.0 | – | 1,925.3 |
| Net debt / EBITDA[11,5] | 3.05x | 3.50x | – | 3.49x |
| FFO / net debt[11,5] | 29.7% | 21.0% | – | 22.2% |

| Metric | FY2024 | FY2025 | 6M2025 | 6M2026 |
|---|---|---|---|---|
| Adjusted ROCE[11,9] | 9.0% | 7.5% | – | 6.7% |
| Equity, EUR m[14] | – | 2,494.7* | – | 2,636.1* |
| Total assets, EUR m[14] | – | 6,278.9* | – | 6,339.2* |
| Dividend per share, EUR[15,12,4] | 1.33 | 1.366 | – | 0.704 |
| Installed green capacity, GW[12,9] | 1.4 | 2.1 | – | 2.1 |

* – verify in the original; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).

## Business performance review

- **Networks:** investments EUR 208.3m (+26.1%), 68% of total; segment Adjusted EBITDA EUR 147.3m (132.6m)[16].
- **Green Capacities:** 2.1 GW installed, 0.6 GW under construction (0.7 GW after the Tume BESS FID), 3.4 GW secured[17]. EBITDA declined due to weaker wind in Q1-Q2 and a lower hedge price (EUR 130 → 82/MWh)[18].
- **Reserve Capacities:** Adjusted EBITDA EUR 17.9m (29.1m, −38%); the balancing market is becoming more competitive[3,18].
- **Customers & Solutions:** EBITDA EUR 0.2m (−27.7m); supported by higher volumes in a cold winter and one-off gas wholesale deals in Q1[4]. Prosumer impact c. EUR −30m EBITDA in 2025, expected somewhat higher in 2026, 60-70% to be covered by new legislation[18].
- **Projects and deals:** 49% of Vilnius CHP sold (Quaero Capital, March 2026); 399 MW / 798 MWh of BESS under construction; Kruonis PSHP unit 5 ~80% complete; data-centre partner search launched 2026-08-11[19,4].
- **Safety:** a contractor employee was fatally injured in February 2026[20].

## Financials

- 6M revenue EUR 1,497.5m (+15.4%), EBITDA EUR 303.5m (262.5m), net profit EUR 113.2m (111.4m)[21].
- FFO EUR 251.4m (+11.3%), free cash flow EUR 5.3m (64.0m); investments EUR 306.1m (343.2m, −10.8%)[22].
- **FY2025:** Adjusted EBITDA EUR 546.1m (+3.4%), adjusted net profit EUR 225.7m (−18.7%), net debt up 18.6% to EUR 1,912.0m, FFO / net debt 21.0% (29.7% in 2024)[11,12].

## Past plans vs outcomes

| Plan / target | Outcome | Status |
|---|---|---|
| 2026 Adjusted EBITDA EUR 550-600m (set 2026-02-25) | 6M: EUR 306.6m; guidance reiterated 2026-08-12[12,4] | **In progress** |
| 2026 investments EUR 590-690m | 6M: EUR 306.1m (44-52% of the range)[12,23] | **In progress** |

| Plan / target | Outcome | Status |
|---|---|---|
| Strategy 2025-2028: investments EUR 3.0-4.0bn, 2028 Adjusted EBITDA EUR 600-680m | New strategy 2026-2029: investments EUR 2.5-3.0bn, 2029 EBITDA EUR 640-700m (investment envelope reduced)[24,6] | **Revised** |
| FFO / net debt ≥23% (2026-2029) | YE2025: 21.0%; 30 Jun 2026 (LTM): 22.2%[6,5] | **Not met** |
| Net debt / Adjusted EBITDA 3-4x; rating BBB or above | 3.49x; S&P BBB+, Moody's Baa1[6,5,1] | **Met** |
| Dividend per share growth ≥3% a year | 2025: EUR 1.366 (+3.0%); H1 2026: EUR 0.704 (+3.1%)[6,12,4] | **Met** |
| Green capacity 2.8-3.2 GW by 2029 | 2.1 GW installed, 0.7 GW under construction[6,25] | **In progress** |

## Investor information & conclusions

- **Instruments held:** shares (IGN1L) and three bonds (2027, 2028, 2030). The bonds are senior unsecured and carry the issuer rating of BBB+ (S&P)[7].
- **For bondholders:** leverage (3.49x) is within the strategic 3-4x range and ratings are stable; FFO / net debt (22.2%) is still below the ≥23% target. Investment is mostly in regulated networks[26,6,1].
- **XS1646530565:** the 2026-10-19 tender offer requires a decision (tender or hold to 2027-07-14). Terms and deadline are in the issuer's Tender Offer Launch Announcement[7].
- **For shareholders:** H1 dividend EUR 0.704 (+3.1%), while adjusted profit is declining (−20.8%). Free cash flow EUR 5.3m - investment and dividends are partly debt-funded[13,4].
- **Conclusion:** financial position broadly unchanged versus year-end 2025; credit metrics within strategic limits, ratings stable. Watch: 9M report (2026-11-11), wind and price effects on Green Capacities, FFO / net debt returning to ≥23%.

## ESG report

### Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

**Evidence:** No weapons, tobacco or gambling. No coal generation and no oil & gas exploration[15]. Owns the gas-fired Elektrėnai complex (reserve capacity) and supplies gas - not restricted by the SEB fossil fuel policy (restricts coal >5% of revenue and new exploration).

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

**Evidence:** No red flags (UNGC / OECD breaches) found in public sources and the news scan (2026-10-22). Ignitis states it upholds the UN Global Compact principles[15].

☐ Yes, the company is not in the list of sanctions (add a screenshot)

**Evidence: Needs review.** Checked by the analyst with internal tools (add a screenshot).

☐ Yes, issues were not identified from adverse media checks (add a screenshot)

**Evidence: Needs review.** The automatic news scan (LT, LV, EE, EN; 30 days) found no adverse headlines. Analyst confirms and adds a screenshot.

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

**Additional comments:**

### ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

**Evidence:** Core activities are green generation (2.1 GW installed, 0.6 GW under construction) and power networks[9]; green bonds and a new EU Green Bond Standard (EuGB) bond[8].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

**Evidence:** EU Taxonomy-aligned capex 84.7% in 2025[15]. SBTi-validated targets in line with 1.5°C; net zero by 2050 or sooner[27].

☐ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

**Evidence: Needs review.** Possible yellow flag: a contractor employee was fatally injured in February 2026[20]. Scope 1 emissions rose 54.7% in 2025 due to higher gas generation[15].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

**Evidence: Applicable:** the SEB Investments policy[28], the Electricity & Renewable Energy policy, since green generation and networks make up more than 15% of revenue[29], and the Fossil Fuels policy for gas distribution, gas supply and the Elektrėnai reserve plants. The gas revenue share was not found[30,31]. **Requirements met:** Scope 1-3 emissions disclosed (4.49m t CO2e in 2025) and SBTi-validated 1.5°C targets[32]; ISO 14001 environmental management at ESO, Ignitis gamyba, Ignitis and the Vilnius and Kaunas CHPs[33]. No coal, peat or oil & gas extraction[15]. **Expectations met:** ISO 45001 safety management, no fatal accidents in 2025[34,33]; trust line for anonymous reports[35]; anti-corruption policy and ISO 37001 certification[33,35]; UN Global Compact[36]; integrated annual report with climate data[15]; biodiversity monitoring and mitigation measures[37]. **Not found / to check:** a named human rights due diligence process and quantified biodiversity targets[38]; country-by-country tax report (listed at[39], not read).

**Additional comments:**

### Engagement

☐ Is there a need for pro-active engagement with the company?

**Evidence:** No need identified. Possible topics: share of gas generation and Scope 1 growth, contractor safety.

**Additional comments:**

### Indicators

☐ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

**Evidence: Needs review.** Available PAI data: total GHG emissions 4.49m t CO2e (+10.1%)[15]; carbon intensity (Scope 1+2) 214 g CO2e/kWh in Q1 2026 (−12.8%)[20]; Taxonomy-aligned capex 84.7%[15]. Comparison with the Fund's targets - analyst.

**Additional comments:**

**Conclusion:** Exclusionary screening without findings (sanctions and media to be confirmed by the analyst). Positives: high Taxonomy-aligned capex, SBTi targets. Watch the share of gas generation and safety.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Electricity & Renewable Energy sector policy; Fossil Fuels sector policy (coal, oil & gas, peat); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## Sources


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4. Press release: 6M 2026 results, 2026-08-12
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20. First three months 2026 interim report (regulatory notice), 2026-05-13
21. Ignitis Group - First six months 2026 interim report, p. 11, 23 (verify revenue and net profit in the PDF), 2026-08-12
22. Ignitis Group - First six months 2026 interim report, p. 29, 5, 2026-08-12
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29. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), p. 6, 2026-04-23
30. Integrated Annual Report 2025, p. 24, 39, 2026-02-25
31. SEB Sector Policy on Fossil Fuels (2026-04-23), p. 4, 6, 2026-04-23
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36. Integrated Annual Report 2025, p. 8, 2026-02-25
37. Ignitis grupė - Gamta (website, LT), 2026-10-22
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39. Integrated Annual Report 2025, p. 429, 2026-02-25

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